MANAGERIAL ECONOMICS

"MARKETING CONCENTRATION AND COMPETITION TRENDS IN THE AIRLINE INDUSTRY OVER TIME"

SUBMITTED TO

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❖ INTRODUCTION -

Air ticketing is popular across the Indian soil as has come to be termed under a reached segment with the increasing pressures of air traffic and inducing an easy flight experience in crowds. The second reason is the claim in IMF World Economic Outlook update that by 2025, Indian middle class population will be doubled and hence making India as third biggest aviation market of world also during the year itself. Pp, which provides a significant share of the country's Gross Domestic Product also creates over 2.5m jobs in the US.
The main airlines in India: Air-India, IndiGo, SpiceJet Go First and Vistara made it to the list. It is the toughest growing sector within the transportation commercial industry with 2020 recording a ten% boom in home passenger traffic. However, except for infrastructure, regulatory and environmental issues, it has its cons.
The government of India has introduced a host of policies aimed at development in the sector (UDAN – regional connectivity scheme and National Civil Aviation Policy). Additionally, investment development of airport infrastructure is increasing

❖ OBJECTIVES –

- To determine market concentration in the airline industry
- To track the competition in the industry over time

❖ EARLY EVOLUTION AND GOVERNMENT MONOPOLY

Indian Airlines for domestic routes ensured a government monopoly that lasted for several decades. It was to last until the 1990s. Economic Liberalization and Private Entry. This watershed moment came in 1991 with the onset of economic reforms. In 1994, the Open Sky Policy was formulated that opened entry of purely private airlines such as Jet Airways and Sahara Airlines. The entry of low-cost carriers like Air Deccan in 2003 made air travel a dream accessible even to middle-class people.

Key Government Policies

The National Civil Aviation Policy of 2016 proved to be the turning point. This indeed gave a fillip to regional connectivity with the UDAN scheme. FDI policies were relaxed to allow foreign investment of up to 100% in domestic carriers.

Policy Interventions and Challenges

Infrastructure upgrades, tax relief, and operational improvements are some of the key interventions herein. High fuel taxes and competition remain the challenges the industry is yet to grapple with. The most recent crucial attempt at the privatization of Air India was to attain efficiency. Growth and Market-Oriented Transformation. These, along with an element of government initiatives and market growth, have combined to make India one of the fastest-growing aviation markets in the world.

❖ METHODOLOGY

Herfindahl-Hirschman Index (HHI)

HHI is a measure of market concentration used to evaluate an industry's competitiveness.

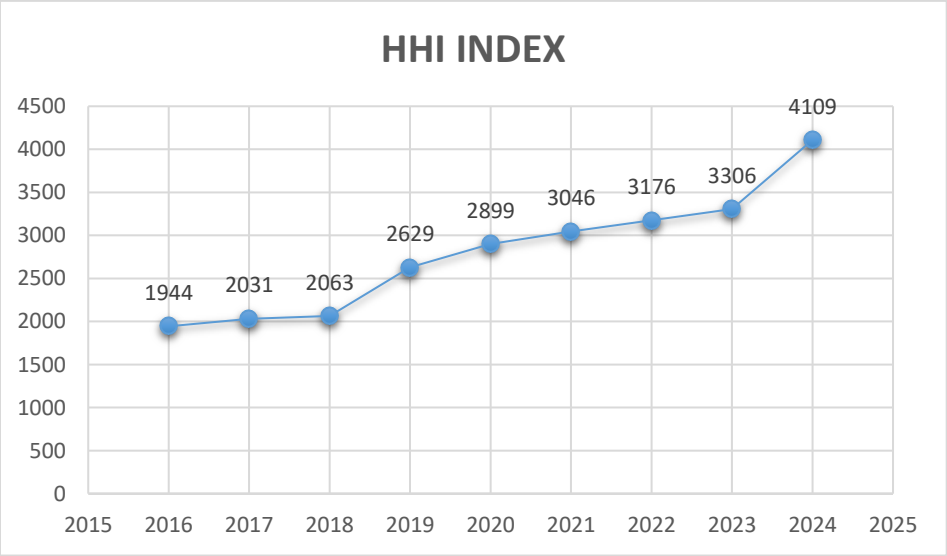
Interpretation of HHI

- **HHI < 1500** - Indicates a competitive market.
- **1500 < HHI < 2500** - Suggests moderate market concentration.
- **HHI > 2500** - Reflects high market concentration.

Market Share Data of the Indian Airline Industry

1. **IndiGo**: 61.6%
2. **Air India**: 13.7%
3. **Vistara**: 9.2%
4. **Akasa Air**: 4.8%
5. **SpiceJet**: 4.4%
6. **Go First**: 0.4%

the HHI Index = (61.62)2+(13.72)2+(9.22)2+(4.82)2+(4.42)2+(0.42)2
= 4109.45



❖ MARKET STRUCTURE IN AIRLINE INDUSTRY

Oligopoly Market

1. **Few Dominant Players**: IndiGo, Air India, SpiceJet, and Vistara are the top four airlines in India. IndiGo, in particular, has a large market share, followed by other carriers. These airlines have significant control over prices, routes, and marketing strategies.

2. **High Barriers to Entry**: New airlines face severe entrance difficulties, including high capital investment, regulatory permits from the Directorate General of Civil Aviation (DGCA), access to key airports, and rivalry from incumbent players. Additionally, the cost of maintaining operational efficiency in a price-sensitive industry contributes to these hurdles.

3. **Interdependence**: The big Indian airlines rely heavily on one another, particularly in terms of price strategy. When one airline, particularly IndiGo, lowers its fares, others follow suit, resulting in price wars and greater competition on popular routes.

Government Regulation and Influence

1. **Government Regulation**: The Indian government regulates the airline business through the DGCA, which monitors safety, pricing rules, and airport slot allocations. Furthermore, Air India, which was government-owned until its takeover by the Tata Group, has had a significant role in shaping the market.

2. **Government Subsidies and UDAAN Scheme**: The Indian government has implemented plans such as UDAN to make air travel cheaper and improve regional connectivity by providing subsidies to Airlines. This gives chances for smaller airlines to operate on regional routes, while the major ones continue to dominate critical markets.

❖ Dominant Players

Airline Factors	Indigo	Spice Jet	Air India	Vistara
Product	Low-cost carrier (LCC), no-frills service	Low-cost carrier (LCC), passenger and cargo services	Full-service carrier (FSC), Offering premium services (e.g., meals, business class)	Full-service carrier (FSC), premium economy and economy class
Market Share	61.6% - domestic market	4.4% - domestic market	13.1% - domestic market	9.2% - domestic market
Revenue	₹6,89,04.3 crores	₹7,085 crores	₹31,377 crores	₹11,780 crore
Profit	₹8,172 crore	Loss (₹423 crore)	Loss (₹7000 crore)	₹ 1393 crore
Price	Affordable fares, Charges for extra services (e.g., meals, baggage).	Low-cost fares and unbundled services (e.g., baggage fees, seat selection).	Premium pricing for international and business-class passengers, competitive pricing for domestic	Higher fares, targeting premium travellers.
Output	Operates 2016 flights daily, Connecting over 121 destinations (33 international)	Operates 380 flights daily, focusing on domestic, limited international routes.	operating 500 flights daily, large international presence	Operates 300 flights daily, 50 destinations in and outside of India, focusing on domestic and international premium routes.

Conclusion

The Indian airline industry is an oligopoly market, as the data shows. HHI for the Indian airline industry is **4109.45**. This indicates a highly concentrated market, primarily dominated by a few large players like IndiGo and Air India. An HHI above 2500 generally suggests significant market concentration.

Reference Link

IndiGo Widens Lead in Indian Market Share – India Report